

Types 1 - 4

Metering Services

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Description of Service

The Independent Pricing and Regulatory Tribunal of NSW (IPART) has defined metering services for Types 1 to 4 meters to be Metering Installation Types 1, 2, 3 and 4 as referred to in Chapter 7 of the National Electricity Rules.

The Metering Services means the meter supply, installation and maintenance, meter reading and meter tests. These Metering Services have been contestable since the start of the National Electricity Market (NEM) in 1998. As a result, customers and retailers have been able to choose any AEMO accredited meter provider outside the local network provider.

AEMO have defined the four meter types in terms of the following volume limits per annum per connection point:

- > Type 1 – greater than 1,000 GWh pa
- > Type 2 – 100 – 1,000 GWh pa
- > Type 3 – 0.75 to less than 100 GWh pa
- > Type 4 – less than 750MWh pa.

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Pricing Methodology

Essential Energy's methodology for the pricing of types 1 to 4 metering services is designed to ensure that the prices we charge reflect the costs of the resources we provide, together with a reasonable rate of return.

Our pricing takes into account all the resources required to perform the work and includes items such as labour, materials, plant, vehicles, other direct costs, overheads and profit.

Our direct labour costs are calculated using a standard hourly rate. This hourly rate is based on a predetermined average depending on the class of the employees. Any overtime required is added to the existing labour costs and then an appropriate on-cost rate is applied.

Our direct material costs reflect the reasonable market value for the materials required. Our internal plant & vehicle usage is calculated using a standard hourly rate which is an average based on various categories, such as network connection/disconnection charges, notification of service works charges, parking and tolls. Any further direct expenditure, such as the use of external resources as required, are included at a reasonable cost.

After all direct costs have been accumulated, an applicable profit and overhead component is added to determine the total cost of the service.

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Terms and Conditions - Meter Provision and Meter Data Agent

1 Terms of Quotation

A quotation is available for meter provision and meter data agent services. However, this is not a legally binding offer. Each quotation is issued on these Terms and Conditions and is valid for 30 days from its date of issue unless a different period is specified in the Quotation or is varied, revoked or replaced by National Metering & Data before the Customer offers to accept the quotation. If a Customer wishes to accept a quotation, then the Terms and Conditions and the Quotation, form a contract between National Metering & Data and the Customer ("Contract").

2 Terms of Agreement

National Metering & Data's sole obligation under the Contract shall be to use reasonable commercial endeavours to provide the Products and Services on these Terms and Conditions.

3 Entire Agreement

These Terms and Conditions and the Quotation are the entire agreement of the parties in relation to the Contract and supersede all other statements, representations, negotiations, arrangements, understandings, quotations, tenders and agreements.

4 Variation

No modification, variation or amendment to the quotation will be of any force unless such modification, variation or amendment is in writing and executed by each party.

5 Notices

Any notices under these Terms and Conditions must be signed by a person duly authorised by either party, and either addressed and delivered to the intended recipient, or sent by facsimile number to the relevant intended recipient.

6 Inconsistency

If there is an inconsistency between the quotation and these Terms and Conditions, the provisions of the Terms and Conditions prevail to the extent of the inconsistency.

7 Mutual Obligation

Each party will give the other party all reasonable assistance, documents, information, media or other material requested to assist it to perform its obligation under the Contract.

8 Additional Products or Services

If National Metering & Data identifies that the Customer requires additional products or services in order for the Products to be installed or the Services performed or the Customer requests additional products or services ("Additional Products or Services"), National Metering & Data may provide the Customer with a supplementary quotation for the Additional Products or Services. National Metering & Data shall proceed with the necessary work if the Customer indicates to National Metering & Data that it wishes to accept the supplementary quotation. If it is necessary that Additional Products or Services be provided before the work (subject of this Contract) can proceed, National Metering & Data may suspend the work under this Contract pending acceptance of the supplementary quotation by the Customer.

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9 Testing of Metering Installations

Customers may request that National Metering & Data investigate the accuracy of any metering installation at any time. If the accuracy of the relevant metering installation complies with the applicable regulations, the Customer is responsible to pay for the cost of conducting the investigation. However, National Metering & Data must pay for the cost of conducting the investigation if the accuracy of the relevant metering installation does not comply with the applicable regulations. National Metering & Data will set the rates charged for the tests and Customers may, at any stage, request the rates charged for the tests.

10 Drawings and Documents

All illustrations, drawings and particulars of Products and/or Services that from time to time accompany a Quotation or appear in a National Metering & Data catalogue, advertisement or price list, are for information only and do not form part of the Quotation.

11 Freight

If Services involve the testing or modification of equipment owned by the Customer at National Metering & Data's premises, the Customer will be responsible for the delivery of the equipment to National Metering & Data's premises and the removal of the equipment from National Metering & Data's premises on completion of the test or modification.

Removal must occur within five business days of notification by National Metering & Data. National Metering & Data may agree to organise the return freight of the equipment to the Customer on completion of testing, but will only do so as agent of the Customer. National Metering & Data will send the Customer a copy of the invoice of freight charges and a fee for the costs incurred in returning the equipment to the Customer.

National Metering & Data reserves the right to charge a fee to the Customer to recover all reasonable costs incurred in safeguarding the equipment in excess of five business days. National Metering & Data will not be responsible for the safe return of the equipment to the Customer and will not be liable for any loss or damage to the equipment while it is in transit or during loading and unloading.

12 Time

National Metering & Data will use reasonable commercial endeavours to make timely delivery of the Products and/or Services.

13 Site

National Metering & Data may deliver the Products and perform the Services at the Site. The Customer must permit National Metering & Data access to the Site that National Metering & Data requires to deliver the Products and to perform the Services. Customer must also provide, without cost to National Metering & Data, any assistance, facilities and utilities that National Metering & Data reasonably requires in delivering the Products and performing the Services. On acceptance of the Quotation the Customer must immediately notify National Metering & Data in writing of any special hazards or danger attaching to the Site. Customer will continue to promptly notify National Metering & Data of any hazards or dangers arising after acceptance.

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14 Protection of Products in Customer's Possession

The Customer acknowledges that National Metering & Data may supply and install National Metering & Data Products at the Site in order to provide the Services during the Term.

The Customer will ensure that all National Metering & Data Products in its possession are:

- A. protected from damage
- B. only used for their intended use as specified in the Quotation; and
- C. not interfered with, modified or altered in any way.

The Customer must comply with all reasonable directions of National Metering & Data in relation to protection of National Metering & Data Products.

15 Ownership

If National Metering & Data agrees to sell a Product to the Customer legal and equitable title remains with National Metering & Data until the Customer has paid National Metering & Data the Total Amount Payable. Before title passes, the Customer must:

- A. not bail, pledge, mortgage, charge, grant a lien over, lease or assign the Product or grant any other security over it
- B. not remove any identification labels from it; and
- C. notify National Metering & Data in writing of any intended sale of the place where it is located.

If the Quotation does not indicate that National Metering & Data intends to sell a Product to the Customer, the Product remains the property of National Metering & Data.

16 Invoice

National Metering & Data will issue the Customer a Tax Invoice for the Total Amount Payable during the month within 15 days after the end of each month. The Customer must pay the full amount owing to National Metering & Data within 30 days of receipt of the invoice. The Customer must pay interest on any late payments at the rate of the maximum per annum reference lending rate published by the Commonwealth Bank of Australia Limited at the date of default plus 2%.

17 Meter Provision Services

Any meter provision service specified in the Quotation must be provided in accordance with chapter 7 of the NER.

18 Governing Law

All Contracts are governed by the law of the state in which the Customer receives Services. Each party irrevocably submits to the non-exclusive jurisdiction of the courts of the state in which the Customer receives Services, without limitation, any claim or objection based on absence of jurisdiction or inconvenient forum.

19 Severance

If any provision of the Contract is held by any court or tribunal to be invalid or otherwise unenforceable, that provision, to the extent of that invalidity or unenforceability, will no longer apply and the remaining provisions of this Contract shall continue to bind the parties.

20 Fees

Billing for Services will be as follows:

MDP or MDA Only Service - Billing for Services will apply from the date of transfer of services to National Metering & Data and shall continue through to the date of transfer of Services away from National Metering & Data (where sites are listed on MSATS, MSATS transfer dates will apply).

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MPB Only Service - Billing for Services will apply from the date of installation of National Metering & Data's meter and continue through to the date of removal of National Metering & Data's meter.
MPB and MDP Combined Service - For the MDP component of the combined service, billing for services will apply from the date of transfer of Services to National Metering & Data and shall continue through to the date of transfer of Services away from National Metering & Data (where sites are listed on MSATS, MSATS transfer dates will apply).

For the MPB component of the combined service, billing for services will apply from the later of:

- A. the date of installation of National Metering & Data's meter; or
- B. the date of transfer of Services to National Metering & Data and continue through to the later of:
 - the meter removal date; or
 - the date of transfer of Services away from National Metering & Data.

Other Products or Services shall be billed as specified in the Quotation.

Additional Products or Services shall be billed monthly by National Metering & Data and identified separately on each monthly invoice.

In addition, the Customer must pay:

- A. for Services performed at the Customer's request outside of normal business hours (7a.m. – 4p.m. each business day)
- B. for travel to the delivery address in excess of 100km of the nearest National Metering & Data office
- C. for revisits and re-scheduling of Services to suit Customer requirements
- D. for work required to make the site compliant with the code
- E. for costs associated with the handling and disposal of hazardous materials located at the delivery address whilst carrying out the Services
- F. if a communications link is to be established, the amount by which National Metering & Data's costs of the link exceed \$250
- G. an additional amount of \$1.00 per meter per day if a landline is required
- H. the amount National Metering & Data reasonably believes reflects the additional costs and expenses due to:
 - any information supplied by the Customer which National Metering & Data relied on when preparing its Quotation proving to be incorrect or incomplete
 - the delivery of the Products, Services or Additional Products or Service being interrupted or delayed by the Customer or the Customer's employees, contractors or agents; or
 - a change in regulatory requirements, thus affecting the Products, Services or Additional Products or Services provided.
- I. for additional cost involved in Site Inductions, including an hourly rate per employee as
- J. defined by National Metering & Data; and
- K. for the increase in Price that National Metering & Data may determine on each anniversary of the commencement of the Services, by a percentage equal to the percentage rise (if any) in the national consumer price index (all groups) over the preceding 12 months.

21 Products & Services Tax (GST)

Unless expressly stated otherwise, the Quotation is GST exclusive.

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22 Assignment

A Customer must not assign its rights or obligations under this Contract without the prior written consent of National Metering & Data. National Metering & Data may assign its rights or obligations under this Contract at any time. National Metering & Data will provide the Customer with written notification of any assignment of rights or obligations.

23 Term and Renewal

The Contract commences when National Metering & Data accepts in writing the Customer's offer to proceed with the Quotation. The Contract ends on the later of:

- A. the completion of the Term, measured from the commencement date (as specified on the Contract); or
- B. the cessation of power services to the delivery address.

At least 30 days before the completion of the term or end date specified on the Quotation, the Customer must notify National Metering & Data in writing whether it wishes to terminate the Contract with respect to all Products, Services or Additional Products or Services.

If this notification does not occur, the term shall be extended by 12 months from the then current Contract end date, at prices to be agreed by National Metering & Data and Customer. If National Metering & Data and the Customer cannot agree on the revised Prices before the end of the current term, then National Metering & Data's current market rates for the Products, Services or Additional Products and Services will apply.

24 Force Majeure

If National Metering & Data is delayed or is unable wholly or in part to perform its obligation under the Contract by a force majeure event this Contract shall remain in effect except that National Metering & Data's obligations shall be suspended without liability for the period during which the force majeure occurs. In this clause, force majeure event means any event beyond the reasonable control of National Metering & Data.

25 Termination

Either party may terminate the Contract with respect to all or any of the Products, Services or Additional Products or Services on written notice if:

- A. the other party is in breach of the Contract and fails to remedy the breach within 10 days of notice in writing by the terminating party specifying the breach
- B. the other party becomes insolvent; or
- C. if the force majeure event continues for a period longer than 2 months.

Customer may terminate the Contract if National Metering & Data ceases to be registered under the NER, MSATS system or any other systems that may be used from time to time for specific Services.

If the Contract is terminated in respect of any or all of the Products, Services or Additional Products or Services, Customer must:

- A. pay to National Metering & Data all amounts then outstanding under any invoice
- B. pay National Metering & Data for work done and expenditure made under the Contract since the date of the last invoice and up to the date of termination

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- C. reimburse National Metering & Data for any direct or indirect loss suffered by National Metering & Data including, without limitation, National Metering & Data's loss of profit on the Contract and the legal costs incurred by National Metering & Data in relation to the termination and the prior breach; and
- D. allow National Metering & Data access to the delivery address to obtain any Products, Additional Products or other equipment owned by National Metering & Data at the date of termination. National Metering & Data may remove the Products at the termination of the Contract if it chooses and, in that case, the Customer will provide reasonable access for their removal.

Customer may incur an early exit fee if the Contract is terminated before the end of the Term. Details of the early exit fees can be provided upon written request to Essential Energy.

26 Limitation of Liability

Where any law implies any term, condition or warranty in a Contract, and that law voids or prohibits provisions in a contract excluding or modifying the application of, exercise of, or liability under such term, condition or warranty, such term, condition or warranty shall be deemed to be included in these Terms and Conditions.

However, National Metering & Data's liability for any breach of such term, condition or warranty shall be limited, at National Metering & Data's option, to any one or more of the following:

- A. if the breach relates to goods:
 - the replacement of the goods or the supply of equivalent goods
 - the repair of such goods
 - the payment of the cost of replacing the goods or of acquiring equivalent goods; or
 - the payment of the cost of having the goods repaired.
- B. if the breach relates to services:
 - the supplying of services again; or
 - the payment or cost of having the services supplied again.

27 Exclusion of Liability

To the full extent permitted by applicable law, National Metering & Data shall not be liable, under any circumstances, whether in tort, contract or otherwise, to the Customer or to any other person for:

- A. any direct, indirect, consequential, financial or other loss or damages of any character
- B. any damages for loss of profits, data, goodwill, work stoppage, computer failure; or
- C. malfunction of the Products or Additional Products even if National Metering & Data has been advised of the possibility of such damages or loss.

28 Indemnity

The Customer indemnifies and holds harmless National Metering & Data and each of its employees, officers, agents and contractors against all losses, costs, damages, liabilities, claims, expenses, harm or injury which any of them may suffer or incur out of, or in connection with:

- A. a any breach by the Customer of the Contract; or
- B. b the misrepresentation, misleading or deceptive conduct, negligence and/or other wrongful act or omission of the Customer, its employees, agents or contractors.

29 Confidentiality

Each party must keep all Confidential Information of the other party in its possession confidential and treat such Confidential Information confidential regardless of when it was disclosed. Each party must not use the Confidential Information of the other party for any other purpose other than for

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the purposes of this Contract and refrain from using any Confidential Information of the other party in a way which would be harmful to the best interests of the other party.

All drawings and other documents, including without limitation digital records, accompanying a Quotation or provided through the provision of Products and Services ("Drawings and Documents") remain the property of National Metering & Data and must be treated as confidential information of National Metering & Data.

The Customer must not use Drawings and Documents for any purpose other than that specified in the Quotation and must not disclose them to a third party. If the Customer does not endorse the Quotation, the Drawings and Documents must be returned to National Metering & Data within 14 days of the expiry of the Quotation.

30 Privacy

National Metering & Data will handle any personal information obtained during the provision of the Products or Services in accordance with its privacy policy. A copy of the National Metering & Data Privacy Policy is available on request or may be viewed on the National Metering & Data website: www.essentialenergy.com.au.

31 Dispute Resolution

If a dispute arises out of the Contract and the parties have not resolved the dispute within seven days of one party giving written notice of the dispute to the other, the parties must endeavour to resolve the dispute through mediation (the First Period). The mediation must be conducted in New South Wales. The Institute of Arbitrators and Mediators Australia Mediation and Conciliation Rules (at the date of the Contract) apply to the mediation, except where they conflict with this clause 31.

If the parties have not agreed upon the mediator and the mediator's remuneration within seven days after the First Period:

- A. the mediator is the person appointed by; and
- B. the remuneration of the mediator is the amount or rate determined by the Chair of the NSW Chapter of the Institute of Arbitrators and Mediators Australia. The parties must pay the mediator's remuneration in equal shares. Each party must pay its own costs of the mediation.

If the dispute is not resolved within 30 days after the appointment of a mediator, either party may, after giving written notice to the other party, commence court or arbitration proceedings. Nothing in this clause restricts the right of either party to seek urgent relief or to terminate the Contract in accordance with its terms.

32 Definitions

In these Terms and Conditions:

"AEMO" means the Australian Energy Market Operator Limited (ABN 94 072 010 327).

"Contract" refers to the binding agreement between National Metering & Data and the Customer.

"Confidential Information" means metering data and passwords and all drawing and other documents accompanying a Quotation.

"Customer" is the person to whom the Quotation is directed.

"GST" and "Tax Invoice" have the meanings given to them in the Tax System (Products and Services Tax) Act 1999.

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"Metering Services" means the meter supply, installation and maintenance, meter reading and meter tests.

"MDA" refers to an entity accredited by AEMO as the single point of responsibility for delivery of metering data from a National Meter Identifier (as defined in NER) to affected retailers, Local Network Service Providers (as defined in NER) and AEMO.

"MDP" means the entity responsible for the collection, processing and transfer of energy data from the meter or data logger to AEMO as defined in MSATS Procedures: CATS Procedure Principles And Obligations or its replacement as the relevant AEMO policy statement issued from time to time.

"MDP or MDA Only" means the provision of data services to meet the requirements specified by AEMO.

"MP" means a Metering Provider Category A, B, C or D according to the AEMO definitions for the purpose of Accreditation of Service Providers.

"MP & MDA Compliant" means the provision of MP and MDA Services to meet the requirements of AEMO.

"MP Only" means the provision of MP Services to meet the requirements of AEMO.

"MSATS" means the market administration system as used by the electricity market for site registrations.

"National Metering & Data" means Essential Energy National Metering & Data, ABN 37 428 185 226).

"NER" means the National Electricity Rules.

"Price" is the price or prices set out in the Quotation for the Products and Services (and includes the cost of delivery of the Products to the delivery address) as varied in accordance with the Terms and Conditions.

"Product" or "Products" means a meter and communications device (if applicable) that meets the requirements of Chapter 7 of the NER selected by National Metering & Data for provision of Services.

"Quotation" means a written National Metering & Data quotation referring to these Terms and Conditions.

"Services" means the services specified in the Quotation subject to any qualifications or variations indicated in the Quotation or otherwise indicated in writing to the Customer by National Metering & Data.

"Site" is the site for delivery of the services set out in the Quotation.

"Site Inductions" means a site induction that a technician must undertake prior to entering a Site.

"Term" is the period described in the Quotation.

"Total Amount Payable" is the Price plus GST.